LABOUR MARKET CHARTPACK

4 Nov 2026



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Key points – September quarter 2026

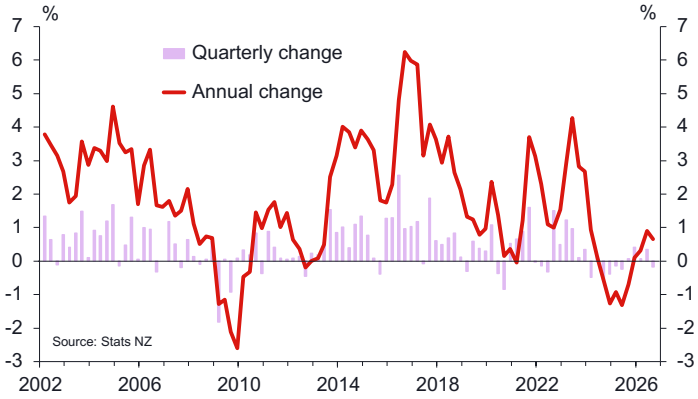
- The September quarter surveys pointed to ongoing softness in labour market conditions. The unemployment rate rose from 5.6% to 5.7%, continuing an almost five-year run of increases. The unemployment rate is now at its highest level since September 2015.
- There were mixed messages in terms of jobs growth: the Household Labour Force Survey reported a 0.1% fall in employment, while the employer-focused Quarterly Employment Survey suggested a modest rise. The Monthly Employment Indicator had also pointed to a small rise in jobs.
- The fall in HLFS employment was accompanied by a fall in the participation rate. These co-movements essentially reversed the surprisingly large increases that we saw in the June quarter, which we had suggested at the time were more likely due to sampling error in the survey rather than a genuine surge.
- We generally recommend focusing on the unemployment rate, which is less vulnerable to sampling errors – and the message here is one of softness. Our best interpretation is that, to the extent that jobs are growing, it's not fast enough to absorb the growth in the population.
- While the economy has returned to growth over the last year or so, hiring activity remains weak. This may be an ongoing legacy of employment trends in previous years, when firms were relatively reluctant to lay people off during the slowdown, which then potentially left them overstaffed even as activity started to pick up again. It's not clear how long this effect can persist, though.
- Wage growth remains muted. Although cost-of-living pressures have increased on workers, the existing degree of spare capacity in the labour market doesn't give them much leverage to negotiate larger pay increases.
- Overall, we judge these results to be weaker than the RBNZ expected, in particular the rise in the unemployment rate. This data supports the views of those on the policy committee who were less convinced in October about the potential for second-round inflation pressures in the economy.

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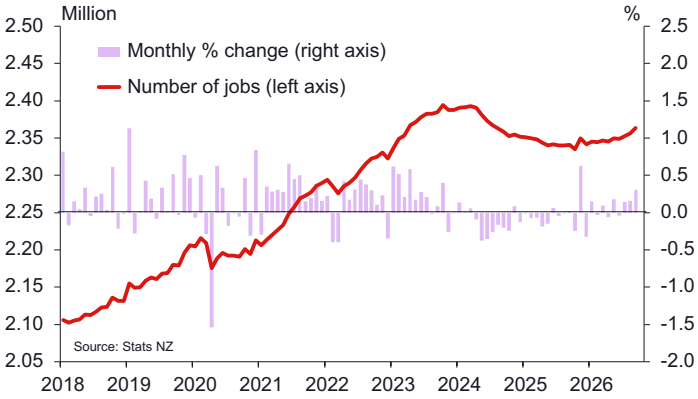
Employment

- The number of people employed fell by 0.1% in the September quarter, according to the Household Labour Force Survey (HLFS). Previous quarters were revised down a little, reflecting downward revisions to the working-age population estimates. Annual employment growth slowed from 0.9% to 0.7%.
- This was substantially softer than our forecast of a 0.5% rise for the quarter. Our forecast was based on the Monthly Employment Indicator (MEI), a comprehensive measure that is drawn from income tax data. While there are some differences in coverage for these two measures, any significant divergence between the two is most likely to reflect sampling error in the HLFS.
- Meanwhile, the employer-focused Quarterly Employment Survey (QES) recorded a 0.1% rise in the number of filled jobs and a 0.6% rise in hours paid. (This survey is of course vulnerable to sampling error as well.)
- We're most inclined towards the MEI measure of employment, given the breadth of its coverage. But our best interpretation is that, to the extent that jobs are growing, it's not yet fast enough to absorb the growth in the adult population – hence the further rise in the unemployment rate.

HLFS number of people employed



Monthly Employment Indicator filled jobs

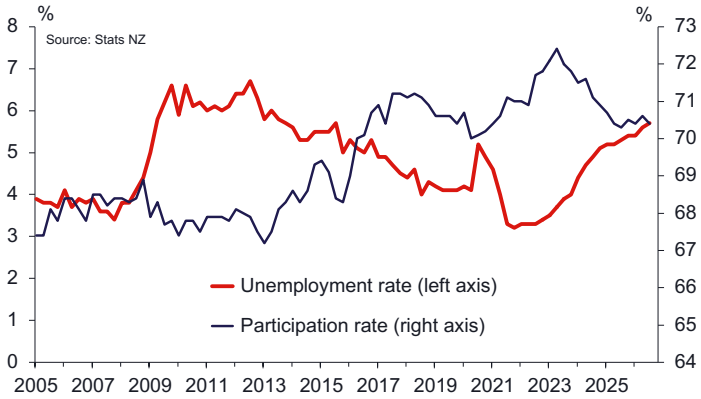


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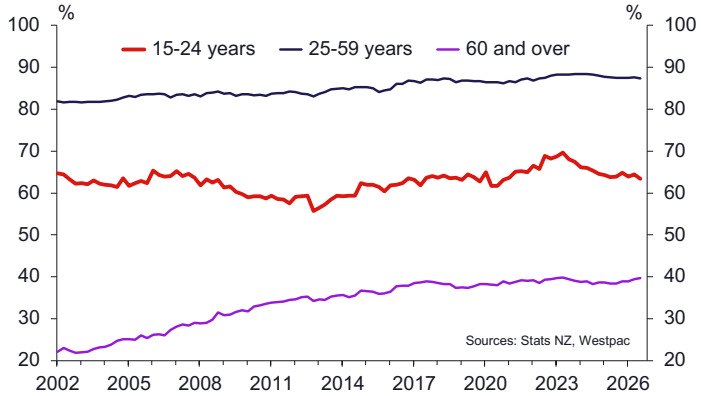
Labour force participation

- The surprising fall in HLFS employment was accompanied by a drop in the participation rate from 70.6% to 70.4%.
- These co-movements are effectively a reversal of the surprisingly large increases that we saw in the June quarter, which we noted at the time were suggestive of sampling error in the survey. Any such errors largely wash out when it comes to the unemployment rate, however, which is why we recommend focusing on this measure.
- Setting aside the usual quarterly volatility, labour force participation remains caught between two competing forces. One is cyclical weakness, especially among younger people, who are finding it difficult to break into a "low-fire, low-hire" labour market. The teen unemployment rate of around 25% is a record high going back to the start of the survey in 1986.
- The other force is rising participation among the over-60s (who also make up a growing share of the population). Kiwis have had a growing propensity to work beyond the NZ Super age, as there is no penalty for doing so. It's unclear to what extent this can be considered an increase in the pool of available workers: older workers tend to have low mobility between jobs, and if they find themselves out of work are more likely to leave the labour force altogether.

Unemployment and participation rates



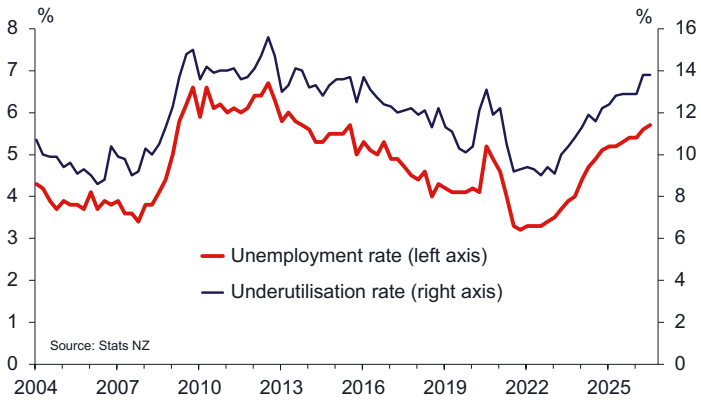
Participation by age group



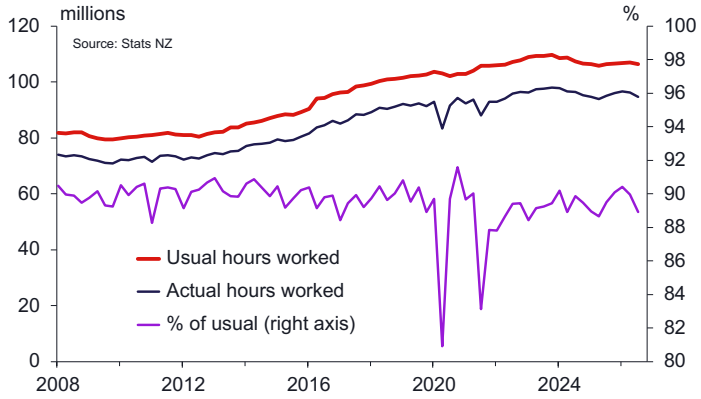
Unemployment and underutilisation

- The unemployment rate rose from 5.6% to 5.7% in the September quarter. This was the highest rate since September 2015.
- While there are other indicators of spare capacity in the labour market, we're not convinced that there is additional information to draw from them this time.
- The broader underutilisation measure, which includes discouraged jobseekers and part-time workers wanting more hours, was steady at 13.8% after having risen sharply from 12.9% last quarter. This measure is both higher (by definition) and more variable than the unemployment rate, but tells a similar story in that it's around an 11-year high.
- There was a marked 1.6% fall in the number of hours worked (although 'usual' hours were down just 0.4%). However, we suspect this was largely driven by Matariki – a floating holiday that won't be captured in the seasonal adjustment.
- This may also account for the 2.5% rise in part-time employment, against a 0.7% fall in full-time employment. Some workers may have been pushed into the part-time category (less than 30 hours a week) simply by virtue of only working four days during the survey week.

Unemployment and underutilisation rates



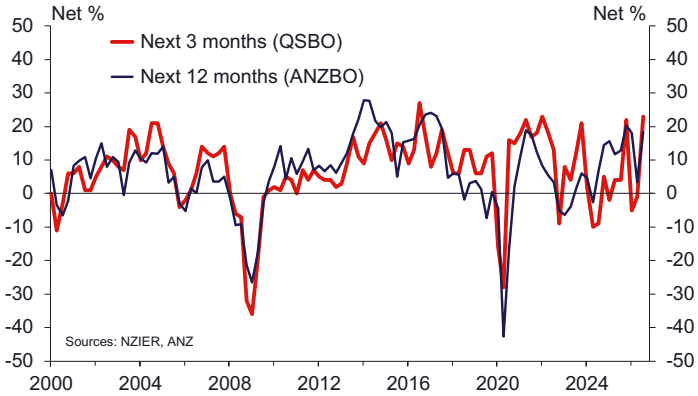
Usual vs actual hours worked



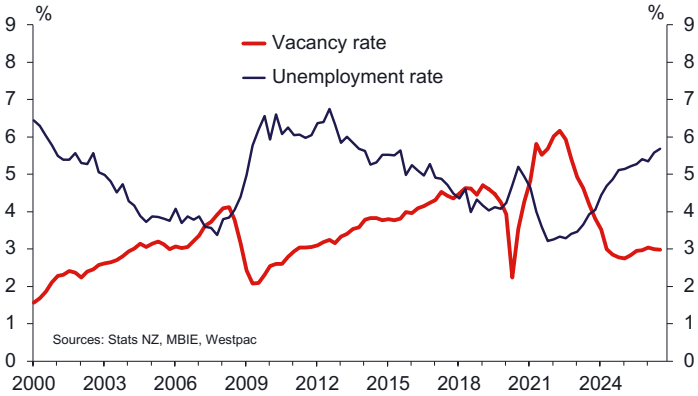
Hiring

- Business confidence surveys have shown a lift in hiring intentions in recent months, as firms have shaken off the initial shock of the Iran conflict and the surge in fuel prices.
- However, those stated intentions aren't obviously turning into reality yet. Job advertisements were down about 1% for the September quarter in seasonally adjusted terms, and they remain well below pre-Covid levels. Job ads will capture 'churn' within existing roles as well as new job creation, but both of these would be associated with a strong labour market.
- With the working-age population growing at the same time, the result was a modest fall in the vacancy rate, one of the RBNZ's highest-ranked measures of labour market tightness.
- We estimate that there are around 1.9 people unemployed for every job vacancy, up from around 1.8 people this time last year.
- Firms have told us that they were reluctant to lay off workers during the economic downturn in 2023-24, as they were wary of the extreme labour shortages that had developed in the previous boom years. As a result, they may find themselves still overstaffed even as demand has started to pick up again, and haven't needed to return to hiring yet.

Business employment intentions



Job vacancies as a % of the labour force



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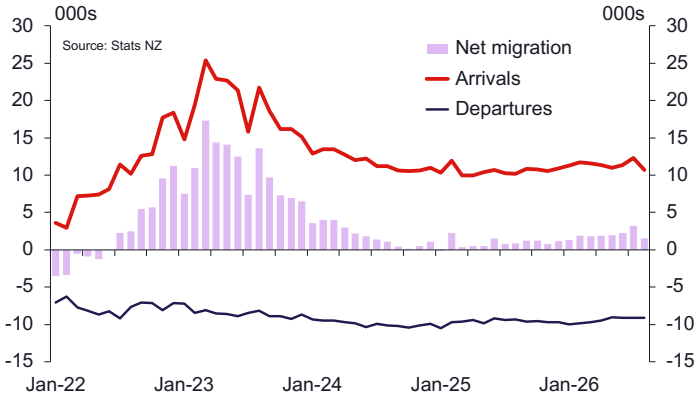
Population and migration

- The working-age population grew by around 1.0% over the last year, compared to a peak of 3.3% growth over 2023. Jobs growth (based on the less volatile MEI measure) is still lagging behind population growth on an annual basis.
- The pool of potential workers is generally becoming older, with the Baby Boomers increasingly reaching pension age and beyond, and with migrant arrivals tending to be an older cohort than we saw pre-Covid – more in their 30s and 40s than their 20s.
- Net migration flows have started to pick up from their lows since late 2025. Departures of New Zealanders have come down from their highs, though they remain above pre-Covid levels, as the relative appeal of the Australian jobs market has narrowed.
- Foreign arrivals have picked up to some degree, although the growth appears to have been mostly driven by students rather than those on work visas.

Employment and working-age population



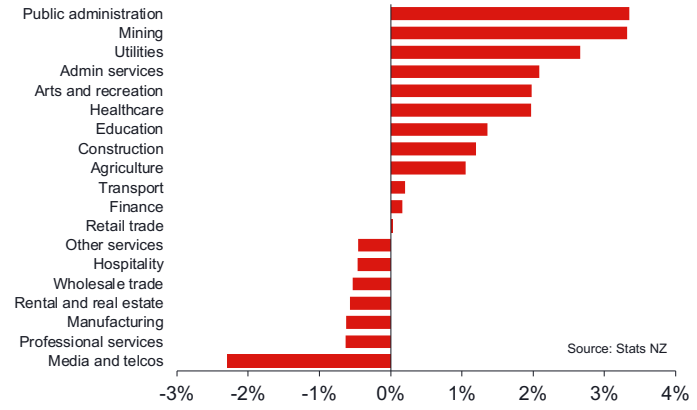
Monthly migration flows



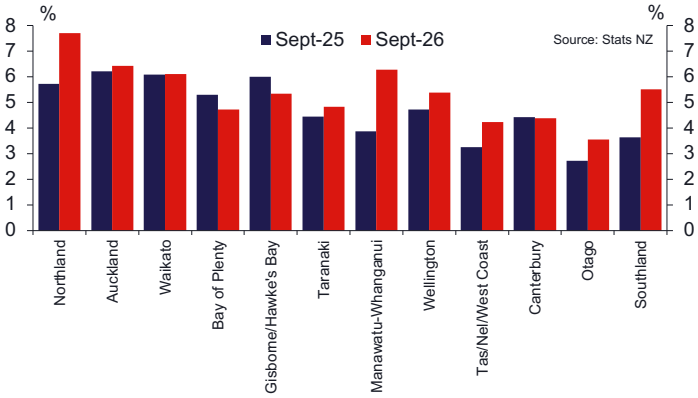
Sectoral and regional trends

- Jobs growth has been relatively strong in government-connected sectors such as healthcare and education, as well as in local and central government administration.
- Mining and utilities have seen strong growth in percentage terms, but neither of these sectors are big employers in absolute terms.
- The construction sector is now starting to see a lift in employment, after a steep decline over 2024-25. Residential building consents have risen strongly over the last year or so, pointing to a growing pipeline of work for the homebuilding industry.
- Sectors that are connected to international tourism, such as transport and recreational services, had previously seen strong employment growth, but this appears to have flattened out in recent months.
- Employment trends have generally been more positive in the South Island than the North, which likely reflects the greater influence of the agricultural sector – while not a large employer in itself, farmers have benefited from high export prices and their spending has flowed into other sectors.

Filled jobs by sector, annual % change



Regional unemployment rates

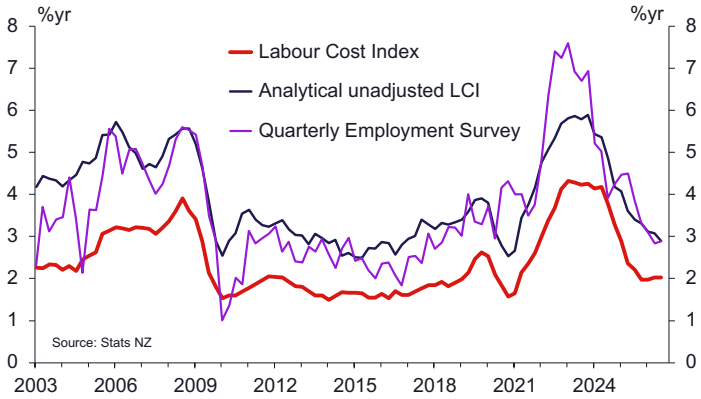


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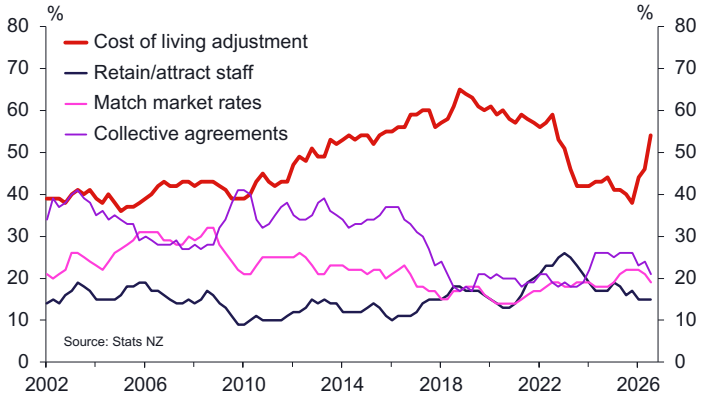
Wages

- The Labour Cost Index (LCI) rose by 0.5% in the September quarter. Annual growth remained around the lowest since 2021.
- While the overall result was in line with our forecast, the details were a little weaker than we expected, with less contribution from private sector wages (up 0.5%) and a surprisingly large 0.7% increase in the public sector.
- The distribution of pay rates has returned to pre-Covid trends. Only 44% of roles saw a pay rise over the last year; of those roles that did see an increase, the average size has converged on the 2-3% range.
- The LCI is not a measure of what workers actually receive – it reflects the cost to businesses for a given unit of labour – and hence shouldn't be compared to the inflation rate. A more suitable measure is the analytical unadjusted LCI, which includes pay rises that are related to productivity gains. This measure slowed from 3.1% to 2.9% on an annual basis, the lowest since March 2021.
- There was a marked pickup in the proportion of firms reporting cost-of-living adjustments as the main reason for pay increases. However, the size of those increases varied greatly, with many of them below the rate of CPI inflation.
- This seems to reflect a shift in the justification for pay rises, rather than an overall increase in wage pressures – firms are more likely to cite cost-of-living adjustments because they're less likely to cite demand-side pressures.

Measures of wage growth



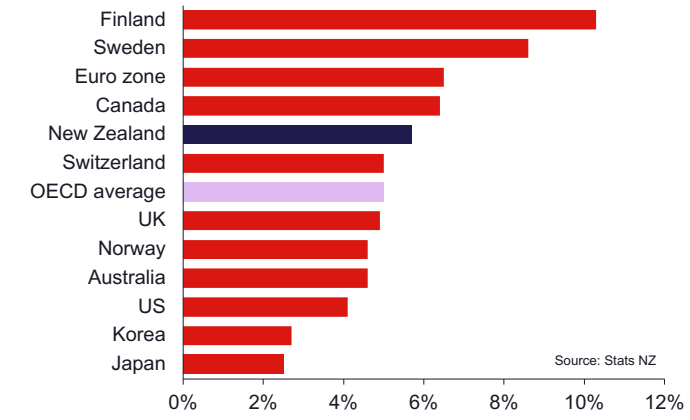
Reasons given for pay increase



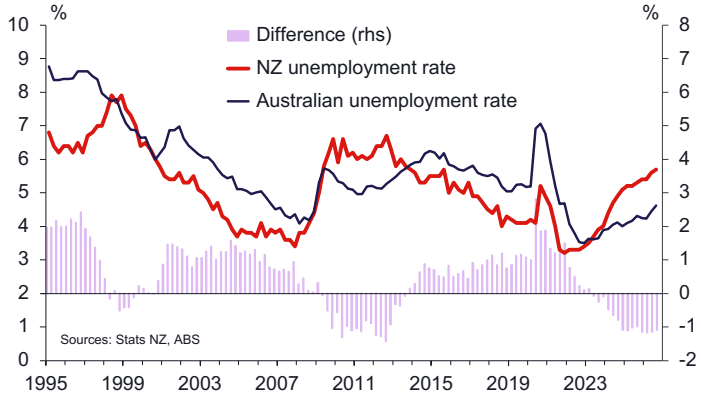
International comparisons

- New Zealand's unemployment rate is the 18th lowest in the OECD (out of 38 countries). This ranking has been broadly unchanged over the last year or so.
- Notably, New Zealand's unemployment rate is substantially above Australia's, whereas historically it has been lower on average. This shift in relative job opportunities has been a key attractor for New Zealanders over the last couple of years – as it was in the early 2010s when the Australian economy was benefiting from a boom in mining construction.
- However, that gap between unemployment rates is no longer widening, with the Australian jobs market starting to soften this year as the RBA has raised interest rates to rein in inflation (which was already running too high before the Iran conflict and the surge in oil prices). We expect Australia's unemployment to rise further over the year ahead.
- New Zealand has the 7th highest employment rate in the OECD (down from 6th last quarter). We tend to have high rates of labour force participation for 15-64 year olds, and particularly high participation for the over-65s, as the lack of means testing for NZ Superannuation means there is no financial disincentive to working beyond pension age.

Selected unemployment rates



NZ vs Australian labour markets



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